

Allianz Research | 1 September 2026

Ten top-of-mind questions on the bond market rout

In Summary

The bond market dominates the financial news flow since summer. Here, we answer the ten top-of-mind questions about the latest market trend:

1. Is the bond market in panic mode? No. Sovereign yields rose since July, again reaching multi-year highs, but the speed of increase was lower (30-50bp) than after the start of the US-Iran war (50-90bp). Bond markets are still functioning well according to bid-ask spreads or auction demand, but elevated rate levels are rightfully raising debt sustainability concerns.

2. Have higher energy prices contributed to the recent sell-off? Yes. Renewed tensions in the Middle East since July and destructions of refining capacity in Russia have raised energy costs in particular gas prices again, leading to higher inflation and central bank expectations (Fed terminal rate +35bp, ECB +50bp) explaining the lion's share of rate increases. Europe's energy dependence is back in focus, with inflation rising to 3.3% in August, above the May reading.

3. Can we blame AI funding for the lack of demand in government bonds? Partially. Even though total net credit issuance, largely due to AI investment, rose from USD48bn ytd last year to USD356bn ytd this year, equivalent to around half of US Treasuries' net supply of USD681bn ytd, stable swap spreads do not indicate strong crowding out lately. Structurally, credit spreads near decade-lows indicate that the supply imbalance has shifted against government bonds.

4. Will Treasury Secretary Scott Bessent's fiscal dominance attempts backfire? Yes if they intensify. Off-the-run bond buybacks or using excess cash to temporarily lower issuance are accounting tricks that will not lead to lower debt issuance in the medium run. With an average debt maturity of just 5.9 years, the US remains highly exposed to refinancing conditions. Ultimately, only credible fiscal consolidation can ease pressure on yields.

5. Could the US mid-term elections improve the fiscal policy outlook? No. But despite the likely political deadlock, we expect Democrats and Republicans to find a compromise on a modest fiscal tightening (0.5–0.6% of GDP/year), which would halve the pace of debt accumulation to +1pp of GDP/year through 2028, but would not stabilize the debt ratio.

6. Can Fed Chair Kevin Warsh calm the markets if bond markets go south? Yes, he has already done so in Jackson Hole, by re-affirming the Fed's commitment to bring down inflation. Moreover, the Fed has unlimited firepower to purchase bonds to lower yields. But this would only happen if market functioning were at risk given Warsh's reluctance to use QE.

7. The USD is down, Bitcoin and Gold are up – is the debasement trade back? Yes, but to a lesser extent than in 2025 following Liberation Day. After a war-driven reversal in H1 2026, the "hard" basket (precious metals) has outperformed the "soft" basket (govies, equity and inflation breakevens) by +15pps since July as concerns over the USD resurfaced.

8. Are European bonds suffering from rising political instability? Yes. Governments are perceived as less likely to deliver necessary but painful fiscal tightening ahead of upcoming elections amid a rise of populist parties across the continent. France and Italy are the clearest pressure point with the OAT-Bund spread at 86bp with 100bp possible by year end.

9. What's the role of Japan in all this? It adds to the turmoil as we expect the BoJ to hike by +75bp more by end-2027 (to 1.75%), encouraging Japanese capital repatriation. Japanese investors hold around USD1.1tn of US Treasuries, while France is also particularly exposed to foreign portfolio flows, with non-residents holding around 56% of its government debt.

10. Bond outlook: Could it get worse before it gets better? Yes. While current yield levels look attractive, the negative feedback loop between higher rates and debt sustainability could trigger self-fulfilling prophecies in several countries (FR, IT, UK, JP, US). We estimate temporary yield spikes of up to 70bp before central banks would weigh in. But overall, we consider risks as balanced as any demand side shock would rapidly lower yields.

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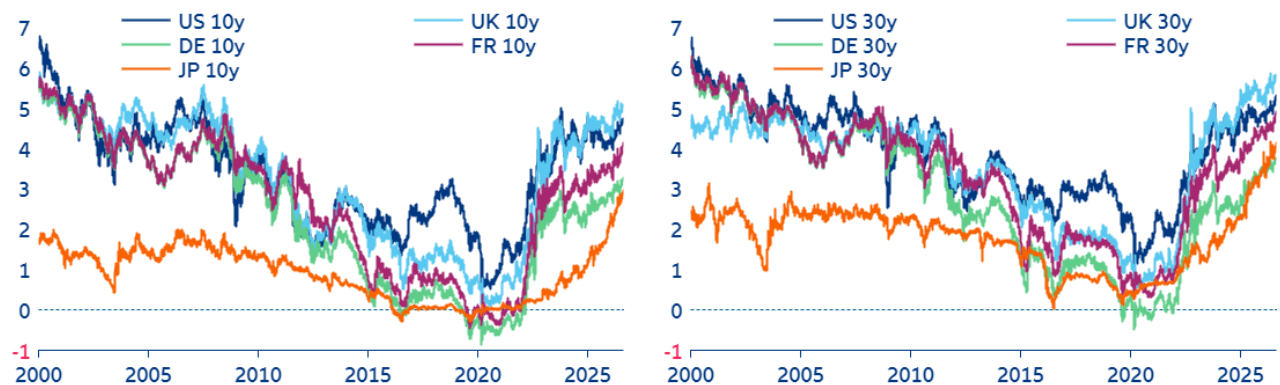
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1. Is the bond market in panic mode?

No, but multi-year highs have caught investor attention again. Interest rates on government bonds have increased again in summer and reached multi-year highs. In most western economies 10y rates have reached levels last seen in 2007-2011 (Germany, France, UK) while in Japan they are the highest in 20 years. Notably, the very long end of government bond yield curves has also risen strongly. While US 10y rates are still below their 2023 high the 30y rate has crossed 5.3% - the highest level since 2007 (see Figure 1). However, while the long-run picture looks eye-watering, it is important to highlight that the increase in interest rates over the summer months was not particularly fast and therefore does not imply panic selling by investors. In fact, the increase in 10y rates since July ranged from +30bp in the US to +55bp in France. While substantial, this is lower than the increase following the start of the US-Iran war until mid-May when the range was within +55bp for Germany and +90bp for UK (see Figure 2). Also, auction demand, bid-offer spreads and other liquidity indicators do not show any sign that the bond market is not functioning anymore. Rather because the increases since July have again surpassed recent multi-year highs, they have triggered media and investor attention. This is justified because interest rate levels are indeed questioning debt sustainability. But we are not (yet) in a “Truss moment,” scenario, or a market panic and rapid sell-off, prompting central bank intervention, such as that triggered by then British Prime Minister Liz Truss in September 2022.

The latest bond sell-off cannot be pinned down to one trigger but rather a combination of forces. The most dominant driver was renewed geopolitical tensions and higher energy prices (Question 2). But other factors also played a role: a crowding-out effect of government bond demand due to high corporate issuance related to AI (Question 3), unstructured attempts by the US Treasury (Question 4) to ease issuance pressure due to high fiscal deficit (Question 5), and misleading communication by the Fed that was, however, at least partially restored during the Jackson Hole conference (Question 6). Investors also dislike rising political instability in Europe which magnifies stretched fiscal budgets (Question 8) and fiscal slippage, as well as the late hawkish turnaround by the BoJ in Japan (Question 9).

Figure 1: Government bond yields have risen to the highest levels in years or even decades (Japan).

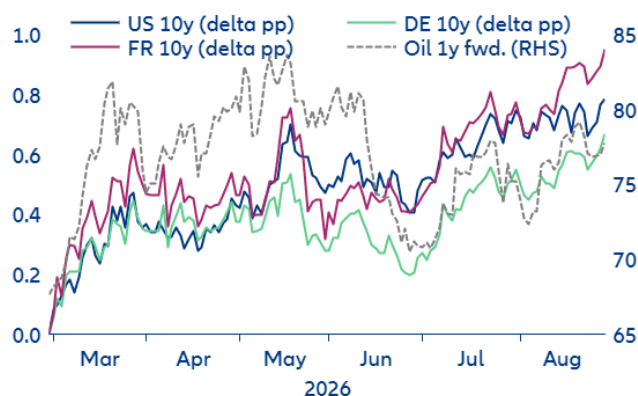


Sources: LSEG Datastream, Allianz Research

2. Have higher energy prices contributed to the recent sell-off?

Yes. Renewed tensions in the Middle East and the destructions of refining capacity in Russia have raised energy costs and inflation expectations. Figure 2 shows that rates co-moved with oil prices in particular when looking at medium term expectations (12-month forward oil price). While the increase in the dated Brent price during summer (peak close to 103USD/bbl) was significantly below the Q2 peak (144), markets started to price in a longer duration of the conflict or at least of oil supply disruptions with the 12m forward oil price reaching similar ranges as in Q2 – although slightly lower as market participants are starting to factor-in new bypasses and substitutions (78 USD/bbl on average in Q2 vs 75 USD/bbl on average since July). Gas prices increased even more strongly over the summer as did refined products due to Ukraine’s targeting of the refining industry in Russia. This weighed particularly on European inflation expectations and rates.

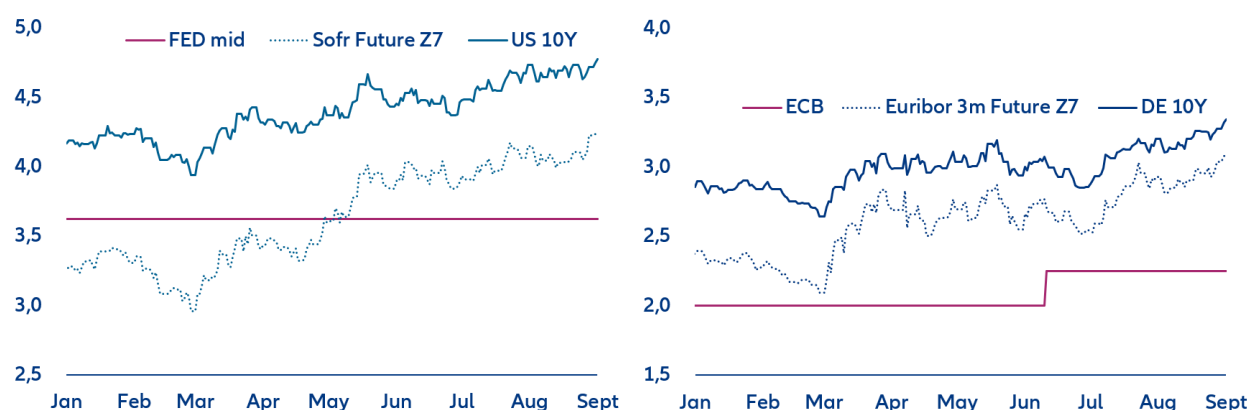
Figure 2: In 2026, government bond yields co-moved with longer-term oil price expectations.



Sources: LSEG Datastream, Allianz Research

Higher inflation expectations shifted anticipated central bank policy rates up – a major driver for the increase in longer dated bond yields. Figure 3 shows how the rise in the expected policy rates at the end of 2027, proxied by money market futures, co-moved closely with 10y government bond yields. With the breakdown of the US-Iran ceasefire and renewed worries about energy supply and inflation markets priced in an additional 50bp of hikes for the ECB and 35bp for the Fed since July – ultimately pushing also 10y rates higher by 35bp (DE) and 25bp (US).

Figure 3: Higher expected central bank policy rates pushed bond yields higher in the US (LHS) and Europe (RHS)

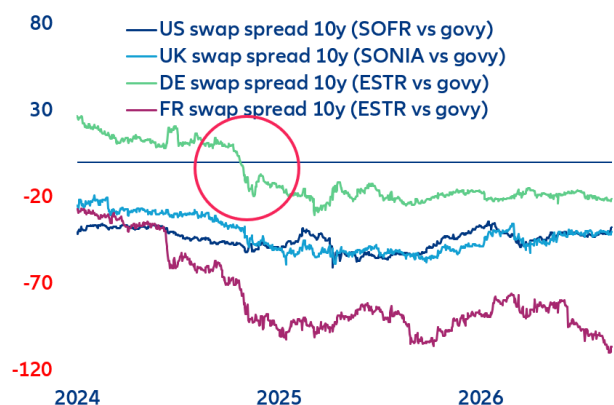


Sources: Bloomberg, Allianz Research

Notes: SoFr Future Z7 and Euribor 3m Future Z7 are used as a proxy for the expected policy rate in Dec 2027.

Stable swap spreads over the summer suggest that fiscal concerns have not been the main driver of rising yields. Ten-year swap spreads measure the difference between the expected cumulative central bank policy rate over the next ten years and a country's government bond yield. An anticipated increase in bond supply, driven by rising fiscal deficits, typically pushes government bond yields above the expected policy rate, causing swap spreads to narrow. This phenomenon was clearly visible in Germany at the end of 2024, when the incoming government began discussing the abolition of the debt brake or earlier that year in France, when Macron called snap elections. Over the summer of 2026, however, swap spreads in Germany, the US and the UK (not France) remained broadly stable, indicating little change in expected bond issuance. This reinforces the view that rising inflation expectations, rather than fiscal concerns, were the primary driver of higher yields.

Figure 4: Swap spreads have been fairly stable in the second half of 2026 in the US, UK and Germany



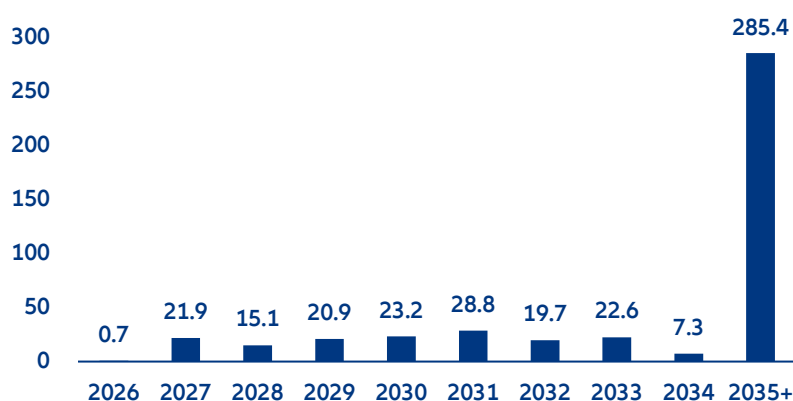
Sources: Bloomberg, Allianz Research

Notes: Swap spreads indicate expected supply-demand adjustments in the government bond market. The red circle highlights the time when discussions in Germany began to abolish the debt brake following the 2025 election. France continuously faces lower swap spreads meaning government bond yield rise more and more above swap yields.

3. Can we blame AI funding for the lack of demand in government bonds?

Partially: AI borrowers have already raised USD356bn in US credit markets this year, compared with USD174bn in the whole of 2025, and because they have almost nothing maturing, essentially none of it is refinancing. Two thirds of investment grade issuance normally replace debt that is coming due, and the cash investors get back from maturing bonds pays for it. Here that cash does not exist. The hyperscalers have sold USD150bn worth of dollar bonds this year against USD23bn falling due before the end of 2027, so the money has to come from somewhere else. AI credit issuance was worth a ninth of the Treasury's net coupon supply last year; against the USD681bn raised so far this year it is worth half. They are also borrowing long, with USD285bn falling due only in 2035 or later (Figure 4), and their share of the index has risen from around 2.6% a year ago to 5.3% now.

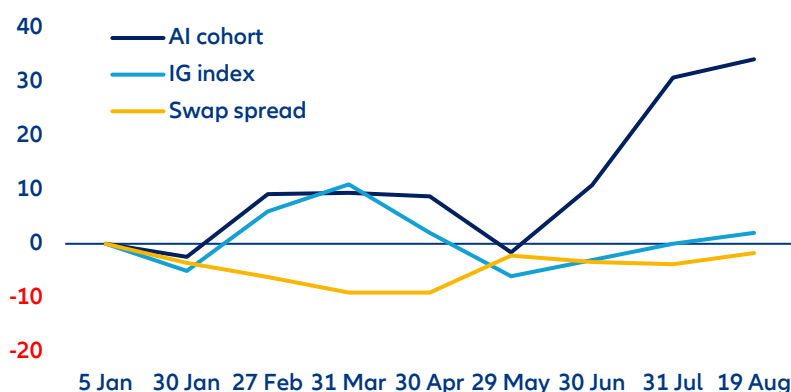
Figure 4: Hyperscalers have almost nothing to refinance, so the issuance is net new (Hyperscaler bond maturities by year, USD bn)



Sources: LSEG Datastream, Allianz Research

Treasury swap spreads have not moved this year, the investment grade index is 2bps wider, and the large AI borrowers are 34bps wider. The swap spread is the cleanest of the three because it strips out the level of rates and isolates demand for government paper itself: at -44bps it sits where it started in January (Figure 5). Inside the AI cohort the widening lands where the paper is, with bonds priced this year around 40bps wider at the long end since pricing against 15bps at the short end, and Nvidia's 2056 issue 43bps wider two months after it was sold.

Figure 5: The AI cohort has paid the concession, and nobody else has (Change since January 2026, bps)



Notes: The AI cohort is a constant sample of large AI-related benchmark bonds; the Treasury swap spread is 10-year SOFR OIS less the benchmark government yield. Sources: LSEG Datastream, Allianz Research.

AI borrowers have paid the concession themselves, and the spillover to everyone else is moderate. Strip the AI cohort out of the index and what remains trades at 79bps, against a median of 128bps since 1997, with only 24 of the past 356 months tighter. Neither big sector has moved either: financials are 2bps wider this year and industrials 1bp, against 34bps for the AI names. Banks are still the largest individual borrowers in the index, with seven of them in the top ten holding USD955bn between them against USD543bn for the whole AI cohort. With almost nothing to refinance, each year of AI issuance adds to the stock rather than replacing it. What to watch is the concentration: the AI cohort has doubled its share of the index in a year, from 2.6% to 5.3%, and nothing in the maturity profile stops it going further.

4. Will Treasury Secretary Scott Bessent's fiscal dominance attempts backfire?

Yes, Treasury Secretary Scott Bessent's attempts to limit the rise in bond yields could backfire if he doubles down on technical measures such as expanded buybacks or TGA-funded purchases. The Treasury announced an increase in long-dated bonds buybacks on 19 August, subsequently topping up the size of the scheme. Recently, several senior Treasury officials have hinted that the Treasury General Account (TGA) – the government's cash deposit held at the Fed – could be used to fund these purchases (in place of, or as a substitute for, bills issuance). These announcements have not had a sustained impact on long-dated bond yields, signaling skepticism amongst market participants. Doubling down on sticker platers solutions, and continuing to claim that higher yields reflect technical factors rather than fundamentals (i.e. higher fiscal and monetary policy uncertainty) could give the perception that the executive power is not likely to reduce the fiscal deficit – in our view the only sensible policy to lower pressure on long-term yields. The US debt is exposed to changing financing conditions and rollover risks, given that the weighted average maturity is only 5.9 years. It also means that funding costs are closely tied to Fed policy, which increases fiscal dominance risks. With the political deadlock likely to increase after the November midterms elections (see below), a sizeable fiscal consolidation is unlikely. However, we think a modest fiscal consolidation (0.5%-0.6% of GDP) will be agreed between the Republicans and the Democrats which will slow down the increase of the debt ratio. The savings could entail a mix of discretionary and social spending restraint and 'stealth' rise of taxation (see below). Ultimately, if Bessent remains concerned about the long end, he will likely reduce issuance in the next quarterly refunding process, but more sticky platers solutions cannot be ruled out. A concerning development would be the Treasury starting to run down its TGA ahead of a potential debt ceiling standoff next year. In the latest debt ceiling spat in 2023, the Treasury largely ran down the TGA (to 23bn by June 2023) to continue financing government spending. Hypothetically, if we get into 2027 with few TGA buffers left, it is not clear how the Democrats would handle the debt ceiling: moderate their demands amid risks that the federal government is running short on buffers, or ratchet up pressure on the Republicans to extract concessions? The TGA level currently sits at around 5.5 weeks of total withdrawals, excluding public debt redemptions and revenues.

5. Could the US mid-term elections improve the fiscal policy outlook?

No. Rising interest expenses and mildly expansionary fiscal policy are expected to increase the deficit modestly this year, albeit at a high level. The White House spending package is likely to be watered down. The federal government deficit decreased significantly in 2025 under the first year of the second Trump administration. On a cash-based measure, it settled at -5.4% of GDP versus -6.9% in 2024 (versus -7.2% GDP in 2024 and -6.4% GDP in 2025 for the national-accounts measure)¹. Sharply higher tariffs and spending restraint were the two main contributors of deficit reduction. However, this year we expect the (cash-based measure) deficit to widen again, though mildly so, at -5.7% of GDP. First, the OBBB Act delivered tax cuts for households and corporates. Second, IEEAP tariffs were struck down by the Supreme Court in February, leading the federal government to pay out refunds to importers and corporates. Meanwhile, spending restraint has been moderate so far this year and interest expenses continue to grind higher. Against a backdrop of increased scrutiny over public finances, the latest USD100bn White House spending package, comprising mostly new defense and border enforcement spending, looks less likely to pass the Senate in full this autumn. Republican fiscal hawks are likely to stall the bill unless, unless the White House agrees to offsetting savings measures.

Political deadlock and a likely divided Congress after the November midterm elections mean that US fiscal policy is unlikely to turn significantly restrictive, with Bessent's 3% of GDP deficit target in 2028 out of reach. Treasury Secretary Bessent has acknowledged that dynamic Social Security and Medicare spending are structural problems that need to be addressed to put the US debt trajectory on a sustainable path. On the other hand, the Democrats see tax hikes as the main avenue to reduce the deficit. Entitlement reforms to Social Security and Medicare need 60 Senate votes to pass, which the Republicans do not currently have, and are even less likely to reach after the midterm elections in November. We place a 75% probability that the Democrats win the House (out of which 40% that they get the Senate, too), versus 25% that the Republicans keep both chambers (Table 1). Likewise, any attempt by the Democrats to pass tax hikes will likely face Republican pushback in Congress. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5%/0.6% of GDP per year of structural deficit improvement, relying on a mix of discretionary and social spending restraint and 'stealth' taxation increase.

¹ The cash-based measure is sourced from the Bureau of the Fiscal Service. The alternative, national-accounts measure (sourced from the BEA) reports a deficit which shrunk from -7.2% GDP in 2024 to -6.4 GDP in 2025. The latter deficit is an accrual and a national-accounts measure: it times flows when the liability is incurred (taxes accrued, interest accrued rather than paid) and excludes purely financial transactions.

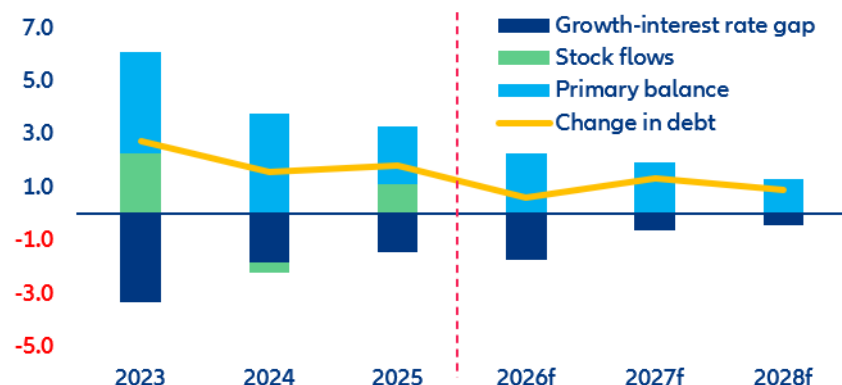
Table 1: Midterm elections outcomes

Mid-term election outcome	Probability	Policy expectations
Democrats get the House	75%	• No major fiscal policy changes, limited fiscal consolidation • Higher risk of renewed and prolonged shutdowns (from October onwards) • Higher risk of lack of agreement on the debt ceiling (likely to be reached in summer 2027) • Continued uncertainty on trade • Ongoing regulatory changes (energy, finance, technology, trade) • Continued uncertainty on foreign policy
<i>Out of which: Democrats get the Senate, too</i>	<i>Out of which: 40%</i>	• <i>Fewer judicial appointments (Senate is needed to appoint federal judges)</i> • <i>Greater uncertainty around senior executive staffing</i> • <i>More institutional friction</i>
Republicans keep both chambers	25%	• Additional tax changes (making temporary provisions permanent) • More immigration funding (border infrastructure, ICE, detention capacity) • Defense spending increase • Squeeze on non-defense discretionary spending

Sources: Allianz Research

Any fiscal consolidation in a divided Congress would likely rely on modest, politically palatable spending restraint, rather than major entitlement reform. On discretionary spending, Democrats and Republicans could agree on tighter caps, slower federal hiring and pay growth, and efficiency savings, building on the precedent of the 2011 Budget Control Act. On mandatory spending, bipartisan support may be more feasible for targeted measures – such as Medicare provider payments, Medicare Advantage overpayments, or higher premiums for affluent beneficiaries – than for broad benefit cuts. More limited savings could come from targeted reductions in agricultural subsidies and other politically protected programs. On the revenue side, bracket creep could provide a further, less politically visible boost to receipts as nominal incomes rise faster than tax thresholds. Overall, such measures could deliver gradual consolidation while avoiding contentious cuts to Social Security, Medicaid and core Medicare benefits.

Figure 6: US debt-to-GDP change and drivers (in p.p., baseline)

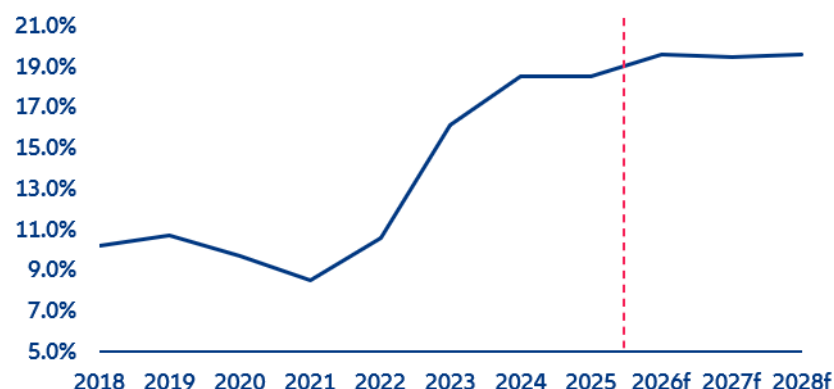


Sources: LSEG Datastream, CBO, Allianz Research

Note: federal public debt held by the public. Stock flows adjustments, which are difficult to predict, could alter the forecasts significantly.

Limited fiscal consolidation under a divided Congress, as we expect, should slow down the increase in public debt over the next two years. But spikes in short-term interest rates could pressure the White House and Congress to embark on more aggressive fiscal tightening. Under the assumptions of limited fiscal consolidation, the federal primary deficit could reach -1.3% of GDP by 2028 (from -2.3% expected this year). If short-term interest rates do not increase much – most of the US debt is issued on short-end maturities, making it more sensitive to short-term rates – the debt-to-GDP ratio increase could be limited to around +1pp per year through 2028 – slower than in recent years (+2pp per year on average in 2023-25, Figure 6). Meanwhile, interest expenses would stabilize, albeit at an elevated level, both as a share of GDP and of federal revenues (Figure 7). But if real interest rates were to spike (e.g. the Fed hiking rates aggressively to tame inflation), interest expenses would rise again, eating further into government revenues, increasing the risk of a fiscal crisis and eventually pressuring the administration and Congress to embark on more aggressive fiscal tightening. Under this scenario, nominal GDP growth could likely slow, providing no offset to the debt-to-GDP-ratio increase. Alternatively, the higher nominal GDP growth that we expect – for instance induced by stronger AI effects – could improve debt sustainability and ease pressure on the government to reduce the structural deficit. Real GDP growth would need to be sustainably above +3% to stabilize the debt-ratio under our mild fiscal consolidation scenario (against +2% expected in our baseline, taking into account a gradual AI-induced pick up in productivity growth, partially offsetting worsening demographics). Higher inflation could also help, but the favorable effect on debt dynamics would likely be partially offset by higher interest rates.

Figure 7: US federal interest payments as a share of federal revenues

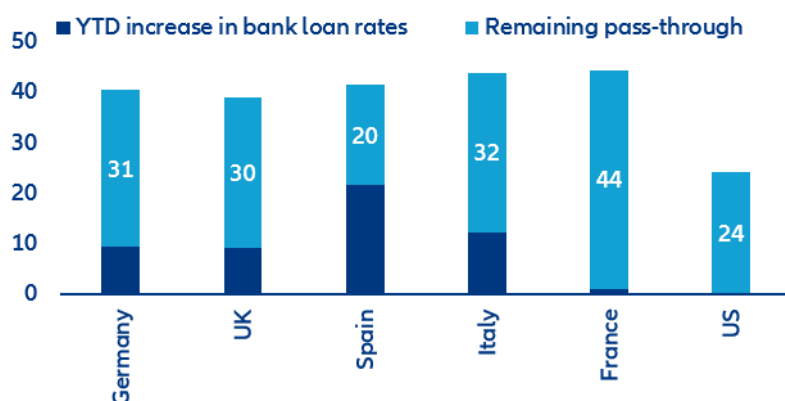


Sources: LSEG Datastream, CBO, Allianz Research

6. Can Fed Chair Kevin Warsh calm the markets if bond markets go south?

Yes. He proved so in Jackson Hole, where he re-affirmed the Fed's commitment to bring down inflation. The Fed has unlimited firepower, in principle, to purchase bonds, but this would likely only happen if market functioning were at risk. However, clear communication from the Fed Chair on short-term interest policy would help limit the rise of long-dated government bond premiums. A sharp sell-off in government bonds – 50-100bps yields increase in the space of a few days – could prompt the Fed to launch unlimited purchases, citing unwarranted rate moves and risks to financial stability. This could trigger a sudden loss of trust in debt sustainability, prompting a rapid sell-off in rates, similar to the “Truss moment” in the UK in 2022 (see Question 10). As long as the rise in bond yields is more orderly and reflects rising term premium over inflation and/or fiscal risks, then the Fed's best policy would be to let financial conditions tighten, and follow through with rate hikes to ease concerns over inflation risks and monetary policy uncertainty. In the near term, a sensible course of action for Warsh is to reduce uncertainty around the Fed's reaction function. A near-term risk would be for Warsh to announce a premature easing of policy – for instance on the premise that higher-long term yields could justify a lower policy rate. Such a move, which could erode the Fed's anti-inflation credibility and push up long-term bond yields, seems unlikely after his speech in Jackson Hole. In our June baseline scenario, we expect a rate hike from the Fed in September (+25bp to 4%), but it could come later. This would mean that the prime rate charged by banks to households and companies would rise by more than 20bps just one month later, as the pass-through is rather quick in the US.

Figure 8: Pass-through from key interest rates to short-term bank rates

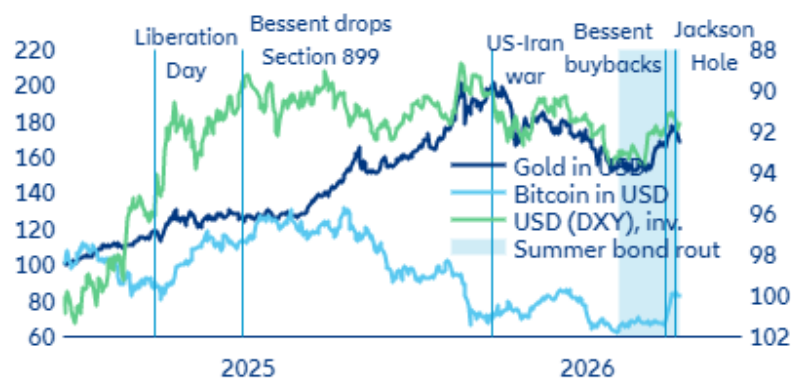


Sources: LSEG Datastream, Allianz Research

7. The USD is down, Bitcoin and gold are up – is the debasement trade back?

In August a familiar pattern from 2025 has re-emerged: Rising yields, a weaker dollar and stronger real assets such as gold and Bitcoin – next to equities. After a war-driven reversal in H1 2026, those “debasement assets” have seen significant interest again with a particular boost after Bessent announced unconvincing measures to curb debt issuance (see question 4). This is a strong reminder of 2025, following Liberation Day and subsequent threats by Bessent to charge a “revenge tax” on foreign investors – another policy that global investors disliked.

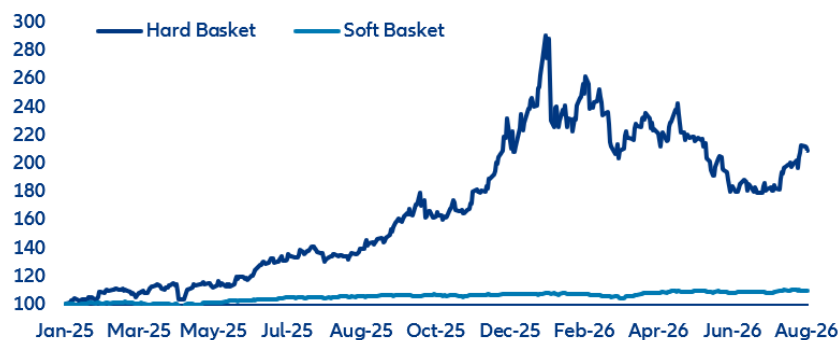
Figure 9: Bitcoin and gold have risen again, the USD has weakened over the summer



Sources: LSEG Datastream, Allianz Research

Since Covid, and with repeated inflation shocks – the post-pandemic rebound, Ukraine, tariffs, Iran – the "debasement" theme has regained centrality in macro analysis. Debasement is defined as the declining value of money, captured simultaneously across three prices: the exchange rate, interest rates, and inflation. When the policy mix is perceived as expansionary, or when exogenous shocks hit, these three monetary prices tend to devalue in tandem. To quantify this, we construct two baskets: the first one is a "Supply constrained Basket" ("hard assets"): long gold / silver / platinum. The second one is a "Monetary Policy Sensitive Basket" ("soft assets"): long US breakevens / 30y-5y steepener / long S&P 500 / short FX. ²

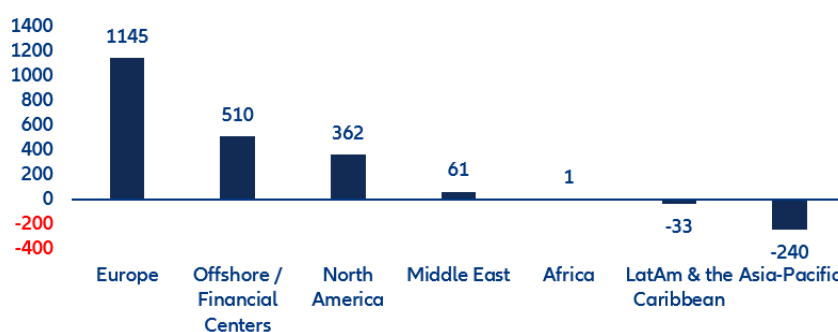
Figure 10: Hard vs Soft Debasement basket performance (Base Jan 2025 = 100)



Sources: LSEG Datastream, Allianz Research

Precious metals are the most reliable barometer of debasement than rates, breakevens, or risk assets. A conventional policy-driven debasement – expansionary settings, rising inflation expectations, a steepening curve, dollar weakness – would show up primarily in the soft basket; instead, it has consistently underperformed. This suggests debasement is better read as a structural erosion of trust in fiat currency, expressed through tangible stores of value, than as a conventional repricing of the policy mix. Beyond narratives around de-dollarization and central bank gold accumulation, markets appear to be pricing elevated sovereign debt and doubts over governments' willingness to control it. This is a signal that hard assets have been capturing constantly. The "hard" basket (gold, silver, platinum) strongly outperformed in 2025 (+101pps), before the war-driven inflation repricing temporarily reversed the trend in H1 2026 (-15pps); since July, however, the 2025 regime has reasserted itself, with the hard basket outperforming again by +15pps in just two months as concerns over the USD return. This is precisely what the summer price action has been telling us. Gold and silver rebounded, while the dollar stayed on the back foot. The classic inflation-trade signature was absent. Instead, the pressure showed up at the long end, with curves steepening on term premium. Hard assets bid, the front end anchored, the long end penalized: that is a credibility repricing, not a policy-mix repricing, consistent with the long-term trend toward debasement.

Figure 11 : Changes in foreign holdings of US treasuries since COVID (USD bn)

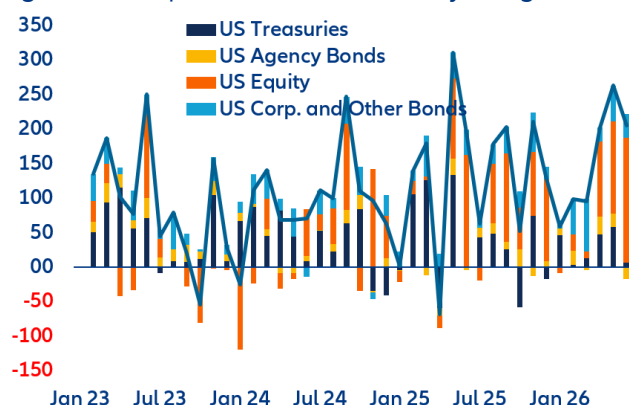


Sources: LSEG Datastream, Allianz Research

² Indices are constructed from equally-weighted daily returns, geometrically compounded from a base of 100 at 2 January 2025. The Hard basket is long gold, silver and platinum (one third each). The Soft basket is long US 10-year breakevens, long the S&P 500, short USD (via inverted DXY) and long the 30y-5y curve steepener (one quarter each).

To explain this debasement index, we can find a strong relationship with the foreign holdings of US treasuries. The regional breakdown clarifies a picture that looks more diffuse at the country level. Asia/Pacific is the only region with a large net negative since Covid, and within it, selling is concentrated in China and Japan, while most other Asian holders (Taiwan, Singapore, India, South Korea) are net buyers or flat. Latin America & the Caribbean is marginally negative, driven by Brazil, though this is partly offset by acquisitions from the Cayman/Bermuda havens booked in the same region. Europe (Luxembourg, France, Belgium, UK) and the offshore financial centers (Cayman, Virgin Islands) are the dominant net buyers, by a wide margin. The more accurate framing isn't "surplus countries are exiting Treasuries," it's that a small number of large official holders (China, Japan, and to a lesser extent Brazil) are net sellers. At the same time, a majority of foreign holders are simply not expanding purchases at the pace of new issuance, while a growing share of net demand is being absorbed domestically or via offshore/allied intermediaries. This is where the debasement index comes into play; the highest-impact sellers (China, Japan, foreign official generally) are having their yield effect muted by issuance-mix management and buybacks, which is exactly the mechanism that suppresses the soft basket's response to declining foreign UST demand. Gold and other hard assets have no equivalent "buyer of last resort" to smooth their price discovery. Instead, the debasement signal that should be distributed across both baskets is being structurally routed into the hard-asset basket by default.. We do not know if Treasuries saw a significant selloff this summer, as the data is delayed by two months. We do see, however, that foreign investors have largely bought equities (real assets), instead of Treasuries, confirming the picture of the longer-term debasement trend.

Figure 12: Net purchases of US assets by foreign investors per asset class, bln USD



Sources: LSEG Datastream, Allianz Research – last data point June 2026

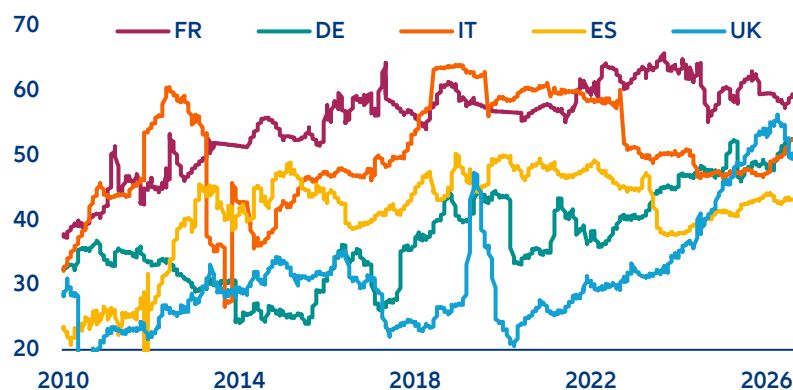
8. Are European bonds suffering from rising political instability?

Yes. European governments are perceived as less likely to deliver sustained fiscal tightening which would put debt levels on a firm downward trajectory. Our political fragility indices³ (Figure 13) remain at elevated levels. Especially in Germany, it hit its highest level since the index began in 2008. The governing coalition in Berlin has been steadily losing ground since it formed last year. The far-right Alternative for Germany, or AfD, is now clearly the largest single party, well ahead of Chancellor Friedrich Merz's governing Christian Democratic Union. In Italy, the index is at its highest level since 2022, driven by the rise of the new far-right party Futuro Nazionale. FN has overtaken the right-wing Lega party, which is a junior partner in Prime Minister Giorgia Meloni's governing coalition. That split has eroded the governing coalition as a whole. The index has been quite stable in France and Spain, though France remains by some distance the most fragile. The government is likely to struggle once again to pass a budget before the end of the year amid a fractured National Assembly. There are already risks of fiscal slippages this year, with the deficit potentially coming out at -5.2% GDP against -5.0% targeted by the government. For 2027, government officials have indicated that the deficit target could be set at -4.9% GDP, implying little fiscal improvement. Important to note is that without any additional fiscal consolidation measures, the fiscal deficit could reach -5.6% of GDP in 2027 because of dynamic underlying social spending. Meanwhile the Presidential elections of April 2027 are rapidly approaching. Anti-establishment parties Rassemblement National and La France Insoumise are high in the polls and it cannot be rule out that they will be both qualified to the 2nd round. These parties are perceived as less credible to restore sound public finances. If these trends persist, term premium on

³ See [2026_07_23_PoliticalFragility.pdf](#)

French bonds could further increase in 2027, exacerbated by a large share of foreign holders (56%). In the UK, political fragility has receded since the arrival of A. Burnham in July. The Labour Party has recovered in polls is now almost at the same level with Reform UK. However, bond markets will have to digest the upcoming Autumn Budget. Burnham has clearly stated his intention to increase government spending. How much of them will be funded with tax increases remain to be seen. Markets' tolerance to new borrowing is very limited, and we would expect Burnham to tread carefully by switching from a moderate fiscal tightening (0.6% GDP in 2027, 0.4% GDP in 2028) planned under his predecessor to a "soft fiscal" tightening (0.2% GDP and 0.3%GDP in both years).

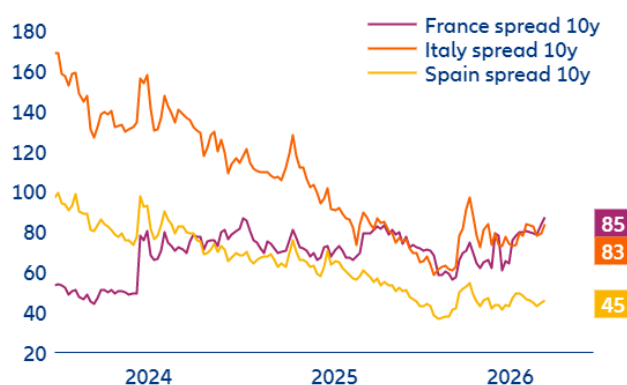
Figure 13: Political fragility index



Sources: Wikipedia, Allianz Research

Notes: The Political Fragility Index is a weekly, poll-based index on a 0–100 scale (higher = more fragile), built from smoothed (Kalman filtered) poll-of-polls vote shares.

Figure 14: French 10y government bond spreads versus Germany have widened this year, bp



Sources: LSEG Datastream, Allianz Research

9. What's the role of Japan in all this?

Japan is experiencing an imported inflationary episode, driven by higher energy and commodity costs alongside a structurally weak yen. The resulting pressure on the Bank of Japan to tighten policy is not just about inflation control; it is about maintaining credibility in both the FX and government bond markets. As Japanese yields rise, the economics of overseas investment become less compelling. Capital that spent years financing global markets can increasingly be repatriated. This matters because Japan sits at the heart of the global dollar recycling system, acting simultaneously as a major lender of dollar liquidity and one of the largest foreign buyers of US Treasuries. The consequence is potentially profound: a tighter BOJ does not only tighten financial conditions in Japan; it withdraws liquidity from the rest of the world. Should Japanese investors accelerate their repatriation flows, Treasury demand would weaken precisely when US financing needs remain elevated. In an extreme scenario, outright sales of Treasuries could emerge as institutions raise liquidity to support domestic markets. A weaker yen is forcing a hike to gain back control on FX, which is tightening global financial conditions and push up global rates higher. The result was a powerful transmission channel from Tokyo to Washington. What starts as upward pressure on Japanese rates

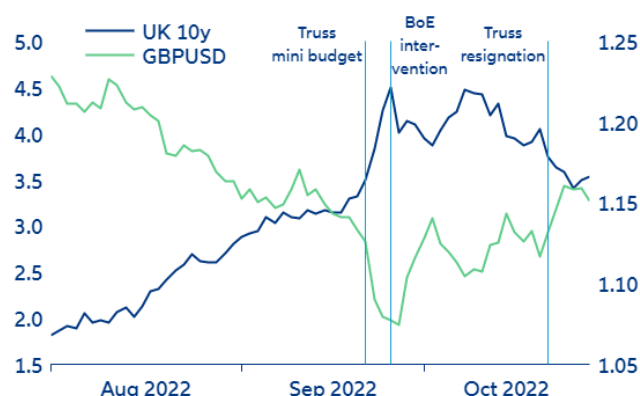
can rapidly become upward pressure on US yields. Hence, rising Japanese rates could become a thorn in the foot of US yields. Stabilizing the Treasury market will therefore be closely tied to stabilizing the yen and preventing domestic Japanese adjustment to have a worldwide impact.

We expect the BOJ to deliver one additional hike to 1.25% by the end of the year before reaching a terminal rate of 1.75% by the end of 2027. Despite short term tailwind from the recent interventions and the BOJ tightening cycle, we continue to expect the yen to remain around 160 USD/JPY in the near term. Meanwhile, aggressive quantitative tightening (QT) continues, pushing long-term yields significantly higher. Table 2 shows that, while Japan has the highest debt-to-GDP ratio among developed economies, its central bank also holds the largest share of government bonds among the countries in the sample. The current pace of balance-sheet reduction is resulting in a substantial supply of JGBs that must be absorbed by private investors.

10. Bond outlook: Could it get worse before it gets better?

Yes, self-fulfilling prophecy reactions in which higher yields trigger higher risk premia on debt sustainability concerns cannot be ruled out in multiple countries. With current yield levels at decade highs in many countries, government bonds look attractive to investors. However, given the negative feedback loop from higher rates to debt sustainability, investors could become more nervous in the near term and demand a higher risk premium which leads to higher rates and therefore reinforces the downward spiral (self-fulfilling prophecy reaction). A sudden loss of trust in debt sustainability could lead to a rapid sell-off in rates within days or even hours, like the Truss moment in the UK in 2022 (see Figure 15). The Bank of England responded by stepping in to limit the rise in Gilt yields, which increased by +130bp in just three trading days, following the September 2022 Budget announcement. Future triggers could include misleading communication from central banks or treasury departments, extreme election outcomes or polls, a rating decision⁴, or, on a more technical level, weaker demand at a government bond auction.

Figure 15: The BoE intervened in 2022's Truss moment when 10y UK yields climbed >100bp in five days



Sources: LSEG Datastream, Allianz Research

Fiscal health metrics highlight stresses in various countries for different reasons. Table 2 highlights which fiscal metrics require close monitoring when assessing fiscal vulnerabilities. Several countries stand out. Japan has the highest share of government debt, although much of it is held by the Bank of Japan (BoJ). With a primary deficit of 2.9% of GDP, France stands out negatively in terms of fiscal discipline. The US appears particularly concerning in terms of the share of government receipts devoted to debt servicing. However, this is also a function of comparatively low tax rates. Were it to raise taxes, it could easily reach debt-servicing levels, as a share of GDP, closer to those of Italy or the UK. Germany, France and Spain have a large proportion of their debt held abroad, which is typically viewed positively. Foreign holders of government debt are often sovereign wealth funds, central banks or other large institutional investors that tend not to adjust their allocations rapidly. A key metric for long-term debt sustainability is the well-known $r - g < 0$ relationship, which captures the condition that real interest rates should be lower than real economic growth to prevent a country from entering a debt spiral. On this measure, France and the UK appear the most vulnerable. By contrast, the US, supported by strong real growth and relatively low real interest rates, remains in a fairly safe position.

⁴ Several rating agencies will publish their sovereign rating reviews in September-November 2026.

Table 2: Fiscal heatmap

Country	Gov. debt in % of GDP	Primary balance in % of GDP	Debt servicing in % of gov. receipts	Debt servicing in % of GDP	Share of gov. debt held abroad in %	Share of gov. debt held by central bank in %	r-g
US	125	-2,2	18,6	3,2	31,0	14,0	-1,2
JP	197	-1,0	3,7	1,4	13,0	49,0	0,2
DE	64	-1,8	2,4	1,1	51,3	19,5	0,2
FR	116	-2,9	4,3	2,2	54,3	16,5	0,5
IT	137	0,7	8,0	3,9	34,3	18,5	-0,2
ES	101	0,0	5,6	2,4	48,9	20,4	-3,0
UK	102	-1,9	7,5	3,4	25,0	19,0	0,8

Sources: LSEG Datastream, Allianz Research

Notes: 2025 values are used except for the last column. r-g denotes the debt sustainability condition that real interest rates r should be smaller than real GDP growth. The figure is approximated using current trend GDP growth (HP-filtered), the current 10y government bond interest rate and the current headline inflation number.

But “central bank puts” remain in place covering worst case scenarios even in times of elevated inflation.

However, even in times of elevated inflation, central banks would not hesitate to intervene. We expect a threshold of around 70bp within a couple of days for them to act. The ECB has created the Transmission Protection Instrument (TPI), which would allow substantial quantitative easing (QE) if “market functioning” were to be threatened. A milder first step would be to halt the current record pace of quantitative tightening (QT) at around EUR40bn per month. Similarly, the Fed or the BoJ could restart QE (see Question 6), just as the BoE did in 2022 following the announcement of an unsustainable fiscal ‘mini’ budget, or as the Fed did in 2023 following the SVB banking crisis.⁵ Such a move could come even in times of elevated inflation because QE would support market functioning while policy rates could remain unchanged to keep the short end of the yield curve elevated.

Overall, however, the outlook for rates is balanced. Any demand side shock to the US or global economy would trigger lower rates immediately – painful for those who exited the bond market at elevated yield levels.

An increase in taxes, government spending cuts or a financial market correction could all be trigger-points. A more prominent example of a demand side shock could be the bursting of the AI boom because a subsequent slowdown of fixed investment and household consumption (which has been driven by wealth effects from higher equity prices) would lead to a sharp economic slowdown and disinflation. In such a scenario – central banks would lower policy rates pulling government bond yields down as well.

⁵ Strictly speaking the Fed did not restart QE in 2023 but was supporting the market by lending money against collateral via traditional and new lending programs causing the downward trend of the Fed’s balance sheet amid quantitative tightening to abruptly reverse.

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